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SoftBank Group Credit Research



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SoftBank Bond Talk Tops B- Yields, Could Tighten: Credit React

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- Earnings Review

(Bloomberg Intelligence) -- RECENT EVENT REACTION: Price talk for SoftBank Group's $10 billion bond deal implies a 60-90 basis-point pickup to implied yields based on its most recently issued bonds, which trade wide along the curve. The 7.5-year tranche offers the largest concession, guided at 9.75%-9.875% versus the 8.9% yields on its existing 8.5% 2036s -- reflecting duration risk and the $4.5 billion target. The new bonds could tighten in secondary trading if they price 20-40 basis points inside price talk, in line with recent dollar deals. These levels are near or above average B- yields in the Bloomberg US Corporate High Yield index. Weak technicals, rising OpenAI exposure and potential further investment could keep spreads wide despite improved liquidity and sub-20% loan-to-value, excluding asset-backed financing and proforma for pending deals. (09/23/26)

1. SoftBank Single-B Bond Yields Price In AI Risk: Credit Outlook

THESIS: SoftBank Group's BB+ rated senior bonds offer near single-B yields, pricing in AI-related risk and weak technical support. While dollar hybrids look tight, euro hybrids offer a wide pickup to seniors. Refinancing a $40 billion bridge loan is likely to result in further bond issuance later this year, alongside margin loans and asset sales, following a $10 billion OpenAI-backed margin loan. Potential listings for SB Energy and OpenAI serve as positive catalysts, whereas further outlays -- including data center investments -- pose risk, even as the loan-to-value ratio stays controlled. (08/20/26)

Credit Considerations

Credit Checklist

2. SoftBank Catalysts Come From $40 Billion Refinancing, SB Energy

The refinancing of a $40 billion bridge loan due in March is key for SoftBank Group's credit profile and bond performance, with supply risk weighing on bond spreads. The firm is set to issue bonds in the coming months as it faces a shortfall of nearly $30 billion, even after a $10 billion OpenAI-linked margin loan. It can raise $15 billion or more by upsizing an Arm-backed margin loan and selling Intel shares. SoftBank's dollar and euro senior bonds trade wide, with positive catalyst from a potential IPO of OpenAI and SB Energy, though the timing is uncertain. The pace and funding of data center investments -- following Nvidia's agreement to partially guarantee a 4.25 GW OpenAI lease -- along with Arm share price movements, are also drivers of bond spreads.

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SoftBank Group can keep loan-to-value below a self-imposed 25% ceiling after pending deals, though the ratio is set to be volatile due to Arm's share price. Investment in data centers will probably erode its balance-sheet headroom, though asset-backed financing should help manage the metric. (08/20/26)

Investment Pace, AI Outlook Are Key Catalysts

Credit Drivers	Outlook	Outlook Trend	Weighting (%)
Earnings & Cash Flow		↔	10
Leverage & Financial Policies		↔	20
Competitive Landscape		↔	5
M&A		↓	25
Event Risk		↔	20
Stock Performance		↔	5
Debt Maturities		↑	15
Valuation		↔	N.A.

Unfavorable Neutral Favorable

Note: This reflects a qualitative analysis by a Bloomberg Intelligence Analyst and is as of the date of publication.

Bloomberg Intelligence

Source: Bloomberg Intelligence

Credit Drivers: LTV Hinges on Arm, Data Center

SoftBank's LTV to Rise on Arm Drop, OpenAI, Data-Center Outlays

SoftBank Group's reported loan-to-value is likely to weaken to about 20% from June's 13%, after Arm's share-price drop and pending deals, though asset-backed financing helps manage the ratio. The company retains capacity for a nearly 20% portfolio-value decline or close to $30 billion in investments before hitting its 25% ceiling. Portfolio values will remain volatile as Arm and OpenAI account for a growing share of assets, while a large data-center pipeline could need further capital. (08/11/26)

3. Arm Shares Plunge, Investments Push LTV Toward 20%

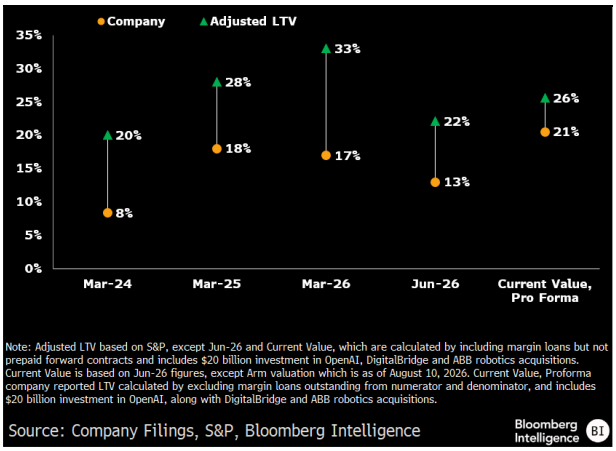
SoftBank Group's loan-to-value, excluding asset-backed financing, could weaken to 20% or more from 13% in June after Arm shares fell by more than 20% from July through Aug. 10, assuming pending deals are debt-funded. Those include a $20 billion investment in OpenAI and acquisitions of ABB Robotics and DigitalBridge. SoftBank could absorb a nearly 20% portfolio-value decline before reaching its 25% LTV ceiling in our scenario. Headroom is greater under S&P's 35% adjusted LTV downgrade trigger, with the ratio staying below 30%, we calculate. Arm shares have been highly volatile, rising to more than $400 from $109 at the beginning of year, before dropping below $300.

Asset-backed financing, including margin loans, asset sales and derivatives, could fund part of the pending investment and reduce the impact on reported LTV. (08/11/26)

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LTV to Rise on Arm, Investment (Click for Model)

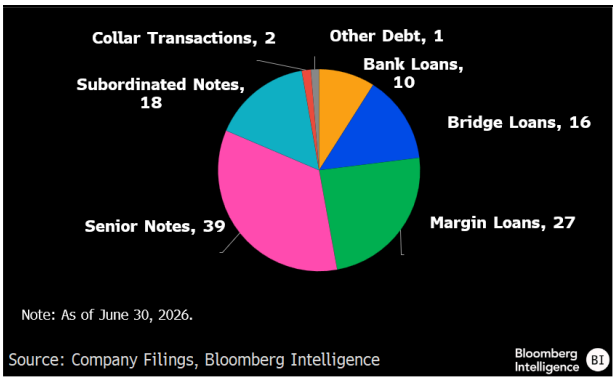


4. Margin Loans Rise With Investment Funding

SoftBank Group is increasingly using asset-backed financing to fund investments, helping contain reported loan-to-value but increasing subordination risk for bondholders. Margin loans outstanding have doubled since March 2025, increasing exposure to margin calls if valuations fall, though the loans' low LTVs limit this danger. About 80% of SoftBank's Arm stake is pledged against a $20 billion margin loan. Its 10% LTV as of Aug. 10 leaves a large buffer despite Arm's volatility, though SoftBank could increase the loan. A separate $10 billion margin loan raised in August includes a covenant requiring cash collateral or mandatory repayment after a significant drop in OpenAI's valuation, even though the AI firm's shares aren't pledged. We calculate the loan's LTV at about 15% or less based on most of SoftBank's OpenAI stake, valued at roughly $100 billion after the July investment.

The OpenAI-linked margin loan will probably be included in SoftBank's LTV calculation because the company guarantees it. (08/11/26)

Rising Asset-Backed Financing ($ Billion)



5. Data-Center Pipeline Could Consume LTV Headroom

SoftBank's data-center and power unit, SB Energy, has a large development pipeline that could require substantial additional capital. Projects include 10 GW of data-center capacity in Ohio, with construction set to begin this year, and 5 GW in France. The company invested close to ¥1 trillion in US data-center and power-generation assets in fiscal 1Q ended June, but hasn't disclosed the total expected investment. It's likely to be phased, with a 2031 target completion for 3.1 GW of data centers in France, costing €45 billion. SoftBank plans to fund 80-90% through non-recourse project finance and is set to raise capital by listing SB Energy.

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SoftBank has headroom to invest almost $30 billion before hitting a 25% self-imposed loan-to-value ceiling, based on Arm's share price as of Aug. 10 and pro forma for pending investments in OpenAI, ABB Robotics and DigitalBridge. (08/11/26)

Nearly $30 Billion Investment Headroom

($ billions)	LTV excl. Asset-Backed Financing, Current Value	LTV excl. Asset-Backed Financing, Current Value, Pro Forma	$30 Billion Investment
Bank Loans / Other	27.4		
Share-backed Loans	-		
Senior, Subordinated Bonds	45.1		
Subordinated Hybrid Notes	5.7		
Investment Commitment to SVF I	-		
Cash and ST Investments	(11.1)		
SBG Net Debt	67.1	95.6	125.6
Arm	227.2		
SoftBank Corp.	20.1		
OpenAI	89.6		
SVF and Latam Fund	60.7		
Others	40.0		
Total Value of SBG Assets	437.6	466.1	496.1
Net Debt / Asset Value	15.3%	20.5%	25.3%

Note: As of June 30, 2026 excluding margin loans outstanding from numerator and denominator. Current Value assumes Arm and SoftBank Corp. valuation based on share prices as of August 10, 2026. Pro Forma includes $20 billion investment in OpenAI, DigitalBridge and ABB robotics acquisitions. $30 Billion Investment assumes an additional $30 billion investment, with portfolio value increasing by the same amount.

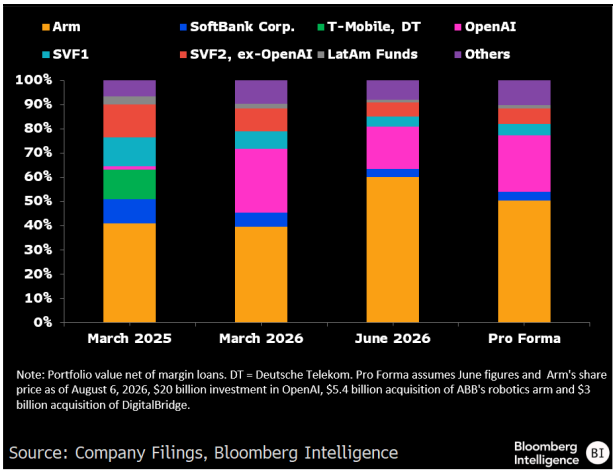
Source: Company Filings, Bloomberg Intelligence

Bloomberg Intelligence

6. Arm, OpenAI Drive Portfolio Concentration

SoftBank's portfolio is highly exposed to AI sentiment and outlook, with about 80% or more linked to AI across semiconductors, large language models, infrastructure and robotics. Arm remains the primary driver of portfolio valuation, but SoftBank's exposure to OpenAI is set to rise, with investment totaling $65 billion by October and valued at about $110 billion based on the last funding round. Its portfolio is becoming less diverse and more volatile, given increasing exposure to these two companies following various asset sales, including T-Mobile, Deutsche Telekom and Nvidia. Listings of SB Energy and OpenAI would boost the portion of listed stocks, though the timing is uncertain. (08/11/26)

Arm, OpenAI Make Up 70-80% of the Portfolio



Note: Portfolio value net of margin loans. DT = Deutsche Telekom. Pro Forma assumes June figures and Arm's share price as of August 6, 2026, $20 billion investment in OpenAI, $5.4 billion acquisition of ABB's robotics arm and $3 billion acquisition of DigitalBridge.

Source: Company Filings, Bloomberg Intelligence

Bloomberg Intelligence

Liquidity: Bond Deal Beckons

OpenAI IPO Delay Clouds SoftBank Bond Sale, SB Energy Listing

SoftBank Group is likely to raise more than $10 billion to fund pending investments, though the prepayment of its bridge loan lowers the funding gap. A delayed OpenAI listing and any slowdown in AI development could raise borrowing costs as SoftBank returns to bond markets, while also adding execution risk to the planned IPO of its data-center unit, SB Energy. (09/16/26)

7. Bond, Loan Rush to Bolster Liquidity

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SoftBank Group can cover two years of bond maturities and pending investment in OpenAI, ABB's robotics unit and DigitalBridge after lining up more than $25 billion of loans. It prepaid a $26 billion bridge loan in mid-September, possibly funded mainly through new loan proceeds. The company also monetized its Intel stake through prepaid forward contracts, according to its draft bond offering circular, and is seeking to raise $10 billion and €1 billion of bonds. The next major refinancing isn't until 2028, when its $12 billion term loan matures.

The company will increase its liquidity buffer after a steep drop in the June quarter. Still, more data-center or AI spending could increase funding needs amid the risk of a delay in SB Energy's IPO, as reported by the New York Times.

Cash, short-term investment and undrawn facilities fell to ¥2.3 trillion in June from ¥3.5 trillion in March. Cash and $20 billion in loan proceeds were used to repay a $12 billion bridge loan, fund a $10 billion OpenAI investment and allocate near ¥1 trillion to US data centers and power generation.
(09/22/26)

Improved Liquidity After Refinancing

($ billions)	
Parent Company (SBG) Cash	5.6
Short Term Investments and Bond Investments	5.6
Undrawn Capacity	3.0
OpenAI-Linked Margin Loans	10.0
Bonds Issued Between July-Sept	18.1
Term Loans for ABB Robotics Deal	1.8
Two-Year Term Loan	11.9
Arm Margin Loan Upsize	5.0
Intel Prepaid Forward Transaction	7.4
SBG Pro Forma Liquidity as of June 2026	68.3
Bonds Due, Callable up to June 2027	(3.9)
Bonds Due, Callable up to June 2028	(5.4)
Bridge Loan Due in March 2027	(25.9)
Pending Investments - OpenAI, ABB Robotics, DigitalBridge	(18.5)
SBG Excess Funding	14.6

Note: Pending investments includes $10 billion for OpenAI. Two-year term loan and Arm margin loan upsize per Bloomberg News and bond offering circular, Intel monetization per bond offering circular.
Source: Company Filings, Bloomberg Intelligence

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8. Growing Debt Load, Rising Costs Pending OpenAI IPO

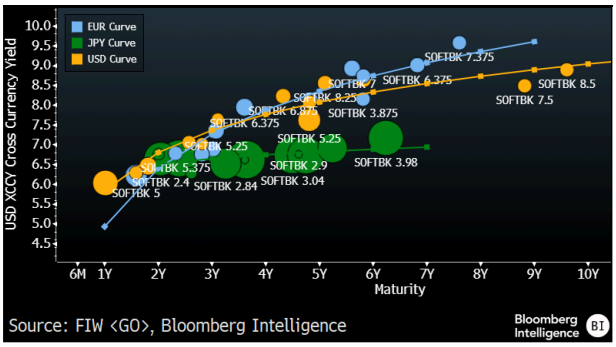
SoftBank Group's gross debt, including margin loans, is poised to rise to $130 billion or more from about $100 billion as of March if it refinances the $26 billion drawn under its bridge loan and funds pending investments with additional borrowings. Funding costs are rising as government yields increase in Japan and the US, while SoftBank's offshore bonds trade wide due to supply concerns and growing OpenAI exposure.

Japan still offers comparatively lower-cost funding despite the rate-hike cycle. SoftBank has raised ¥1.8 trillion there this year, including a record ¥1 trillion retail bond. Its 5-10-year dollar bonds yield about 8.5-9%, but dollar issuance appears to be cheaper than euro funding after swaps. About half of debt is in dollars vs. more than 90% of investments, leaving SoftBank exposed to yen-dollar moves.
(09/16/26)

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Yen Offers Lower Funding Cost

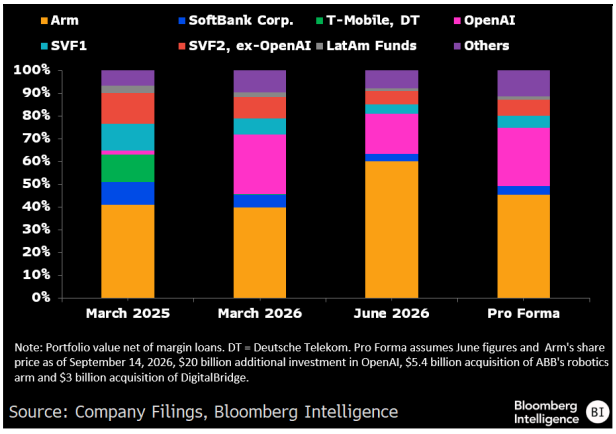


9. OpenAI Exposure Extends Beyond 13% Stake

OpenAI's delayed IPO could postpone SoftBank Group's ability to monetize its 13% stake, valued at about $110 billion and representing more than 20% of portfolio value based on the latest funding round and including its pending $10 billion investment. Vision Fund 2 raised $10 billion through an OpenAI-linked margin loan, but with a guarantee from SoftBank. That margin loan and a new unsecured loan both mature in two years, giving SoftBank more time for an OpenAI listing.

The IPO delay and any slowdown in AI development could weigh on SB Energy's valuation ahead of its planned listing. OpenAI leases most of its 8.8-gigawatt data-center pipeline, though Nvidia provides a residual-value guarantee for 4.25 GW, on top of its $3 billion investment in SB Energy. SoftBank might need to cover any shortfall if SB Energy's equity raise disappoints. (09/16/26)

OpenAI to Grow to About 25% of Portfolio



10. $450 Billion Portfolio Offers Funding Options

SoftBank can plug its funding gap by leveraging its portfolio, valued at more than $450 billion, based on Arm's share price on Aug. 10. It can raise as much as $10 billion by upsizing an Arm-backed margin loan, assuming loan-to-value of about 15%. Other listed holdings are worth much less, though it can sell its $8.5 billion stake in Intel.

More fundraising by selling OpenAI shares is unlikely unless the company goes public, after it raised a $10 billion margin loan. SoftBank is the guarantor for the two-year loan -- unlike typical non-recourse share-backed loans -- signaling constrained lender appetite for OpenAI-backed debt. OpenAI shares aren't pledged as collateral, though a significant decline in the fair value of the shares will trigger a margin call. (08/12/26)

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Listed Stocks, ex-Arm and SoftBank Corp. are Small

Company	Stake (%)	Market Value ($ billion)	Free Float (%)
Arm	86	261.5	14
SoftBank Corp.	40	29.3	59
PayPay	29	3.1	8
Autostore	38	2.2	30
T-Mobile	1	1.7	40
Symbotic	31	1.7	57
Lenskart	10	1.2	52
Meesho	9	0.9	56
Swiggy	6	0.5	61

Note: Positions based on June 2026 13F filing and HDS function. Market value as of September 28, 2026. Includes positions held by SoftBank Vision Fund II. Excludes Intel stake which has been used to raise funds through prepaid forward contracts.
Source: Company Filings, Bloomberg Intelligence

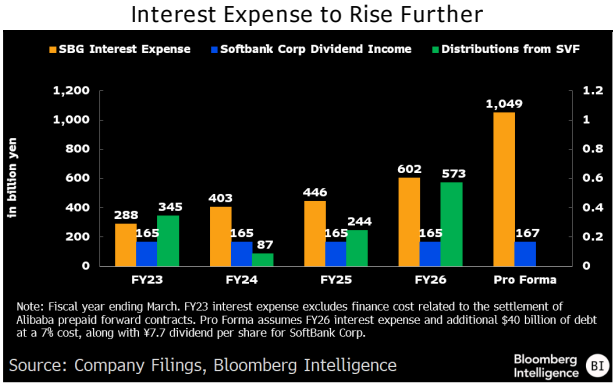
Bloomberg Intelligence

11. Rising Funding Costs to Weaken Cash Flows

SoftBank Group's interest expense could increase by more than 50% vs. the fiscal year that ended in March, assuming a $40 billion borrowing increase at a cost of 6-7%. It jumped 35% last fiscal year. Dividends from SoftBank Corp. and interest income are its key recurring cash-flow sources but are unlikely to cover interest expense, given its reduced cash balance and the rapid cost increase. Distributions from Softbank Vision Fund have been increasing but are volatile, depending on the listings of investee firms.

SoftBank is leaning on debt -- bonds, bank loans and margin loans -- to refinance a $40 billion bridge loan which was mainly used to fund investment in OpenAI. (08/31/26)

Interest Expense to Rise Further



Valuation: Jumbo Bond Deal

SoftBank's $11 Billion Bond Deal Eyes Record Yields on AI Risk

SoftBank Group will probably need to pay a sizable new-issue premium for its planned $10 billion and €1 billion issue, even as the 144A format will broaden its investor base. The sounding-out levels reported by Bloomberg News offer as much as 100 basis points concession, indicating that the 7.5-year dollar tranche may hit record yields exceeding 9%. SoftBank's dollar bonds already trade at 8-9% yields -- in line with the average for B and B- notes despite its BB+ ratings, reflecting heavy supply and AI-related investment risks. (09/22/26)

12. Sounding Out Levels Point to Significant Concession

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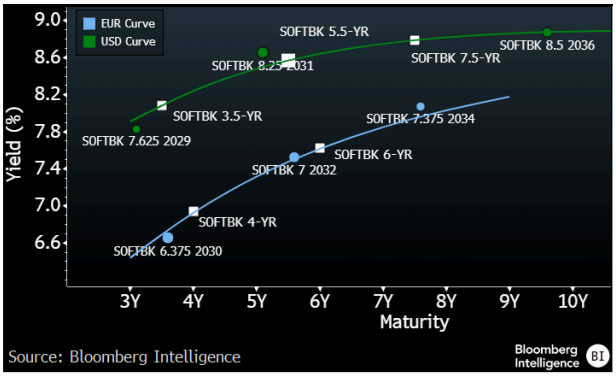
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SoftBank Group's sounding levels for its planned $10 billion and €1 billion bond sale look wide and point to a sizable new-issue premium. Its most recently issued bonds, already trading wide along the maturity curve, imply yields in the low-8%, high-8% and around 9% areas for comparable 3.5-, 5.5- and 7.5-year dollar maturities, versus indicative levels of 9% to low-9%, mid-9% and high-9% to 10%, as reported by Bloomberg News. The concession could be smaller in euros, with sounding levels in the mid-to-high-7% for four years and mid-8% for six years, versus secondary yields of roughly low-7% and high-7%, respectively. The 7.5-year dollar tranche could price at SoftBank's highest-ever dollar yield, above the 8.5% coupon on its 10-year bond issued in April.

SoftBank's April deal priced with a new-issue premium of about 30-60 bps, with a larger premium for its euro bonds. The deal was much smaller at $1.5 billion and €1.75 billion. (09/22/26)

Implied Yields Based on Most Recently Issued Bonds

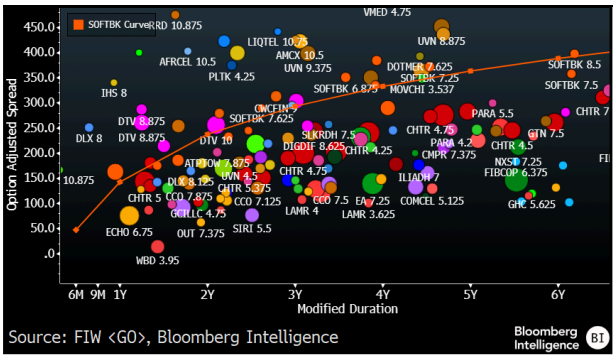


13. Weak Technicals to Drag on SoftBank Bonds

SoftBank Group's dollar bonds are set to continue trading wide due to weak technical support and its growing exposure to OpenAI, even as the planned new bonds may see spreads compress in the secondary market, given the potential sizable new-issue premium. Its dollar bonds maturing beyond three years have widened by 40-80 bps since Bloomberg News reported a potential $10-20 billion offshore deal in late August. Its bonds now trade close to the average yields for B and B- rated bonds in the Bloomberg US Corporate High Yield index. The timing of planned OpenAI and SB Energy IPOs, along with further AI investments are key catalysts, while Arm shares and exposure to OpenAI will probably keep SoftBank's bond spreads volatile.

Meanwhile, Rakuten Group's 9.75% 2029s will probably continue to trade tight. Its ¥600 billion shelf registration signals lower supply risk as it faces $3 billion of bonds due or callable next year. (09/22/26)

B- to BB+ TMT Bonds (Click to Update)



14. Diverging Relative Value Among Hybrids

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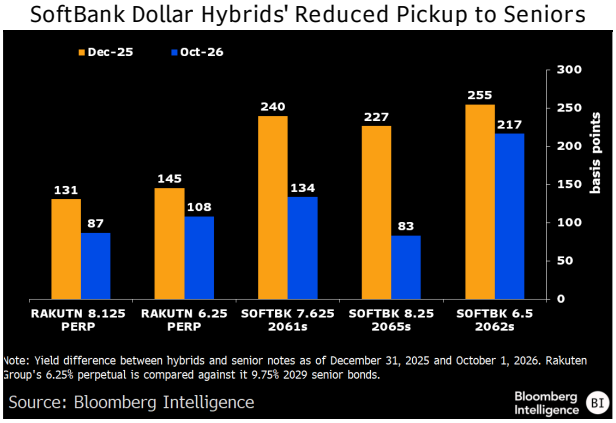
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SoftBank Group dollar hybrids' yield pickup to seniors is down by about 100 bps year-to-date, even after the gap's recent widening. Any hybrid issuance as part of a planned deal would widen spreads, though the company doesn't have a large need to issue hybrids for refinancing or to manage its loan-to-value ratio. Its 8.25% 2065s look especially tight at 9.2% yield, slightly inside its shorter-duration 7.625% 2061s. The company's euro 6.5% 2062s still offer more than 200 bps of pickup over seniors. Rakuten's hybrids, by contrast, might be close to fair value with the hybrid-to-senior spread multiple at about 1.7x.

The hybrids of both companies carry coupon step-ups of 4.25-5% above five-year Treasuries or swaps. Both firms have a strong track record of redeeming hybrids on the first call date. SoftBank issued ¥678 billion this year for refinancing, and Rakuten has €1 billion of perpetuals callable in April. (08/31/26)

SoftBank Dollar Hybrids' Reduced Pickup to Seniors



15. 144A Format Widens Investor Base

SoftBank Group's dollar bond issue under the 144A format should increase investor interest. The bonds will target US institutional buyers and have a higher chance of meeting the criteria for inclusion in major US high-yield indexes such as the Bloomberg US Corporate High Yield and ICE BofA US High Yield, hence broadening its investor base. It could become a top 10 issuer in these indexes, assuming it raises $10 billion. Previous bond deals were done under the Reg S format, which restricts distribution or resale to a US person for 40 days post-issuance. They were part of the Bloomberg and ICE BofA Global High-Yield indexes but not the US ones.

SoftBank's euro-denominated bonds face weak technical support as it is already the largest issuer in the Bloomberg Pan-European High Yield and ICE BofA Euro High Yield indexes, though it is excluded from the ICE BofA Euro Non-Financial index. (09/22/26)

$10 Billion Issue Could Rank Top 10 in US HY Index

ISIN	Description	Par Val	MV	Weight
▸	CCO Holdings LLC / CCO Holdings Capit...	26,243,650	24,311,658	1.66347
▸	TransDigm Inc (12 members)	19,799,660	19,876,830	1.36003
▸	Centene Corp (7 members)	13,923,786	12,872,967	0.88081
▸	Tenet Healthcare Corp (10 members)	12,661,500	12,732,925	0.87122
▸	NRG Energy Inc (12 members)	11,987,275	11,636,594	0.79621
▸	Venture Global LNG Inc (6 members)	11,000,000	11,563,109	0.79118
▸	Cloud Software Group LLC (4 members)	10,637,622	10,822,424	0.74050
▸	OneMain Finance Corp (14 members)	10,582,478	10,676,372	0.73051
▸	Venture Global Plaquemines LNG LLC (...	9,500,000	9,965,416	0.68186
▸	Iron Mountain Inc (10 members)	10,025,000	9,933,158	0.67966
▸	Paramount Global (16 members)	12,075,277	9,726,542	0.66552
▸	Hilton Domestic Operating Co Inc (10 ...	9,400,000	9,130,213	0.62472
▸	CHS/Community Health Systems Inc (7...	8,679,118	8,540,977	0.58440

Source: MEMB <GO>, Bloomberg Intelligence
Bloomberg Intelligence

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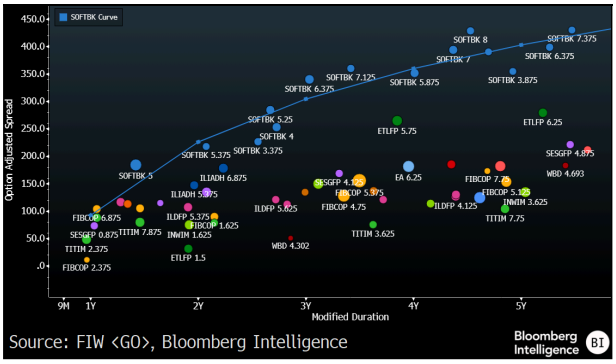
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Bloomberg Intelligence

16. SoftBank's Euro Seniors Trade Wide on Supply

SoftBank Group's euro-denominated senior bonds trade wide of most BB rate technology media and telecommunications peers, probably reflecting heavier supply. The recent 6.375% 2030s and 7% 2032s offer carry and trade as much as 70 basis points wider than SoftBank bonds of similar maturities. The euro curve also offer pickup to the company's dollar bonds, after swap, especially on the longer end of the maturity curve. (08/18/26)

SoftBank vs. BB- to BB+ TMT Euro Bonds



Key Topics

OpenAI $1.2 Trillion Round

SoftBank Faces Double-Edged Sword on OpenAI $1.2 Trillion Round

SoftBank Group is likely to face liquidity pressure and high funding costs if it commits fresh capital to OpenAI's potential funding round at a higher $1.2-$1.5 trillion valuation. It already faces record yields on a $11 billion bond deal. If SoftBank declines to participate, its loan-to-value ratio could decline by 1-2 percentage points. Though it maintains ample room for further investment under a 25% LTV ceiling, higher exposure to OpenAI risks weakening its portfolio quality. (09/22/26)

17. Ample LTV Room for Further Investment

SoftBank Group has room to invest a further $30 billion or more in OpenAI while keeping loan-to-value, excluding non-recourse asset-backed financing, below its self-imposed 25% ceiling. Its investment cushion depends on Arm's share price and OpenAI's valuation. OpenAI is in early talks for its next funding round that could value it at $1.2-$1.5 trillion, according to news reports.

SoftBank's LTV is set to increase to 15-20% from 13% in June if its $26 billion bridge-loan prepayment and pending commitments -- remaining OpenAI investment and ABB's robotics business and DigitalBridge purchases -- are mainly funded by recourse debt. The $5 billion upsizing of an Arm-backed margin loan and a $7.4 billion Intel-backed prepaid forward contract, according to the company's draft bond offering circular, are excluded from its LTV calculation. A higher OpenAI valuation can offset some of the increase, with LTV staying closer to the mid-teens if SoftBank doesn't participate in the new round. (09/22/26)

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Click for Scenario Analysis

Loan-to-Value, excl. Asset-Backed Financing		OpenAI Pre-Money Valuation ($ billions)		
		1000	1200	1400
Further Investment in OpenAI ($ billions)	-	16%	15%	15%
	15	18%	17%	17%
	30	21%	20%	19%

Note: As of June 30, 2026, except Arm's and SoftBank Corp's share price which are as of September 21, 2026. Assumes the acquisition of ABB's robotics arm and DigitalBridge, along with $20 billion investment in OpenAI are completed and fully debt-funded, including a $5 billion upsize of the Arm-backed margin loan and $7.4 billion raised from Intel monetization. LTV, excl. Asset-Backed Financing is net of margin loans and prepaid forward contracts, except $10 billion OpenAI-linked margin loans which are guaranteed by SoftBank Group. OpenAI stake is restated based on different pre-money valuation.

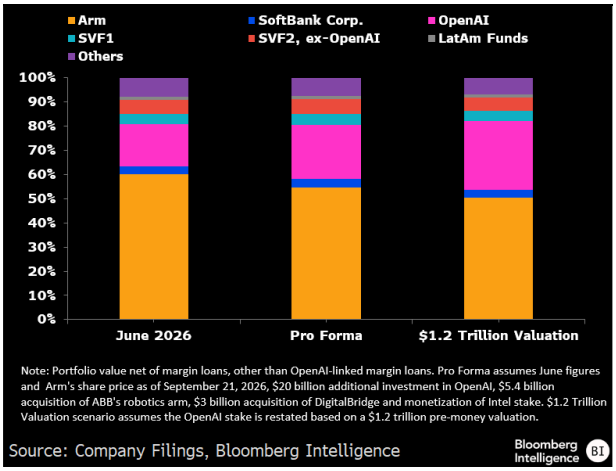
Source: Bloomberg Intelligence

18. OpenAI Concentration to Weaken Portfolio

SoftBank Group's portfolio quality is likely to weaken as its OpenAI exposure grows. The AI company will probably account for 20-25% of portfolio value -- after the final $10 billion investment tranche in October -- based on the $852 billion valuation from OpenAI's latest funding round and Arm's Sept. 21 share price. OpenAI's share can approach 30% if its valuation reaches $1.2 trillion, though listed holdings could fall to about 60% of portfolio value from 69% at the end of June. OpenAI is riskier than Arm -- SoftBank's largest holding -- as it's unlisted, unrated and unprofitable. Still, a fresh funding round will provide OpenAI with more cash to absorb its expected cash burn.

SoftBank remains reliant on OpenAI's IPO timing to realize value from its holding. Its ability to borrow against that stake seems more constrained than for listed assets, with a margin loan linked to OpenAI shares requiring a guarantee from the company. (09/22/26)

OpenAI Could Approach 30% of Portfolio Value



19. More OpenAI Funding to Strain Liquidity

Any further capital commitment to OpenAI could weaken SoftBank Group's liquidity and widen bond spreads. Its dollar and euro bond yields are trading wide due to supply risk and concerns around its growing OpenAI exposure. The company may face 9% or more yields in dollar -- exceeding the previous high of 8.5% priced in April -- as it issues bonds to fund the final $10 billion investment in OpenAI, highlighting the potential funding-cost implications of further balance-sheet expansion.

The company's gross debt is expected to approach $130 billion from roughly $70 billion in March 2025, before it shifted its focus to AI. This pro forma calculation includes margin loans and

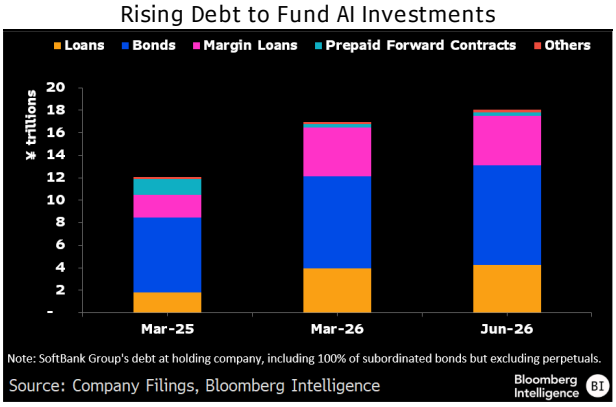
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subordinated notes, excludes derivatives and perpetuals, and accounts for a planned $11 billion bond deal, new loans and a $26 billion bridge-loan prepayment.

SoftBank Group is already the largest Asian offshore high-yield issuer and tops the Bloomberg Pan-European High Yield and ICE BofA Euro High Yield indexes. A $10 billion 144A issue could make SoftBank a top 10 issuer in the Bloomberg US Corporate High Yield and ICE BofA US High Yield indexes. (09/22/26)

Rising Debt to Fund AI Investments



20. Aggregate OpenAI Investment of $65 Billion

(09/22/26)

Participation in OpenAI's Past Share Sales

	Transaction	Pre-Money / Transaction Valuation ($ billions)	Amount Raised / Sold ($ billions)	Post-Money Valuation ($ billions)	Key Investors
Oct. 2024	Primary funding round	150	7	157	Thrive Capital, Microsoft, SoftBank
Mar. 2025	SoftBank-led primary funding round	260	41	301	SoftBank ($30 billion), Dragoneer Investment Group
Oct. 2025	Secondary employee share sale	500	7	500	Thrive Capital, SoftBank, Dragoneer, MGX and T. Rowe Price
Feb.-Mar. 2026	Primary funding round	730	122	852	Amazon ($50 billion), Nvidia ($30 billion), SoftBank ($30 billion)

Source: Company Filings, Bloomberg Intelligence

Bloomberg Intelligence BI

SB Energy IPO

SoftBank SB Energy $178 Billion AI Capex Hinges on IPO, Debt

SB Energy's planned IPO and Nvidia investment could cover the majority of its near-term equity needs, easing the funding burden on SoftBank Group. Yet the company still faces a sharp rise in debt as it builds out its $178 billion data center pipeline, with financing terms likely to hinge on the strength of Nvidia's support for PORTS-Pike, while the Milam County project's exposure to OpenAI poses risk. (09/04/26)

21. IPO Proceeds to Mostly Cover Near-Term Needs

SB Energy can temporarily bridge most of its near-term equity requirements for its data center pipeline through a planned IPO expected to raise $5-$7 billion, as reported by the Wall Street Journal, on top of Nvidia's $3 billion investment. We estimate the company needs up to $13 billion of equity

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through 2028, assuming it incurs roughly half of the capex by then for the initial phase of PORTS-Pike with 20% equity funding, while Milam County is funded with about 40% equity. There might be upside risk if it commences construction for the remaining PORTS-Pike capacity.

SB Energy estimates $178 billion of remaining capex for contracted and under-construction projects, though spending will be phased over several years. The PORTS-Pike project's overall campus probably accounts for over 80% of estimated capex, with the initial 4.25 GW of the 8 GW project scheduled for completion through 2028-31. The 753 MW Milam County project targets completion in 2028, while the 50 MW Cosmos project cost is estimated at only around $1.2 billion and should begin generating lease revenue in 4Q.

SB Energy is responsible for the land, shell, power and cooling, while the tenants are responsible to fund the cost of compute hardware. Yet it's not clear how OpenAI plans to fund the equipment. (09/04/26)

$8-$13 Billion Equity Needed

$ billion		
Backlog-Associated Capex		178
Milam County (est.)		11
PORTS-Pike (est.)		162
Cosmos		1
Power		4
Capex up to 2028	Lower End	Upper End
Milam County (est.)	11	11
PORTS-Pike (est.)	32	41
Total	43	52
Equity Portion	Lower End	Upper End
Milam County (est.)	3	4
PORTS-Pike (est.)	5	8
Total	8	13

Note: Milam County capex assumes $14 billion per GW of capex, Cosmos assumes 50% of $1.2 billion construction cost spent and PORTS-Pike's capex is the remainder of a $174 billion data center capex estimate. Lower End scenario assumes 50% of PORTS-Pike capex is for the initial 4.25 GW, with 40% spent by 2028 and 15% equity funding, along with 30% equity funding for Milam County. Upper End scenario assumes 50% of PORTS-Pike's initial phase capex is incurred by 2028, with 20% equity funding and 40% equity funding for Milam County.

Source: Company Filings, Bloomberg Intelligence

Bloomberg Intelligence BI

22. Project Finance Hinges on Nvidia Support, OpenAI Risk

The non-recourse project finance market will divide SB Energy's pipeline into two credit stories. SB Energy should have a clearer path to raise non-recourse project financing for the initial 4.25 GW of PORTS-Pike, supported by Nvidia's residual-value guaranty of as much as $105 billion. Still, its borrowing costs will probably carry a sizable premium to Nvidia's own funding costs because the guaranty doesn't cover all lease and power payments. Following a qualifying OpenAI payment default or insolvency, the guaranty is designed to cover a shortfall between the applicable guaranteed minimum value and recoveries from reletting or selling the property. The coverage steps down over the 20-year lease term and terminates if OpenAI achieves a specified credit rating.

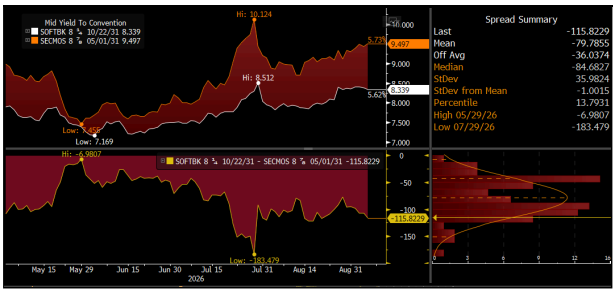
Nvidia has the option to extend similar support to the remaining 3.78 GW. If it doesn't, OpenAI is required to secure a replacement guarantor rated at least A- or equivalent.

Raising non-recourse financing for Milam County faces steeper hurdles. Leased directly to OpenAI without comparable Nvidia support, Milam County forces lenders to absorb unrated corporate exposure and OpenAI's heavy cash-burn risks. This may lead lenders to require lower leverage and higher pricing. SB Energy issued about $1 billion of bonds to finance Cosmos, with the notes trading more than 100 bps wide of SoftBank bonds. By comparison, A+ rated Beignet 6.581% 2049 bonds trade about 60 bps above the secondary curve for its Aa3/AA- rated tenant, Meta. (09/04/26)

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SE Cosmos Trades Over 100 Bps Wide of SoftBank



Source: Bloomberg Intelligence

23. IPO to Ease SoftBank's Financing Burden

SB Energy's planned IPO should improve its ability to raise capital independently as it works toward deploying 8.8 GW of contracted data center capacity, with another 1.7 GW of uncontracted capacity in its pipeline. SoftBank Group will remain the controlling shareholder, and a successful listing should reduce the pressure on the parent to directly fund future capex. The IPO would also increase the proportion of listed assets in SoftBank's portfolio, improve transparency around its data center exposure and potentially lower loan-to-value.

Still, SB Energy's IPO will test investor appetite for OpenAI-linked AI infrastructure, despite the support from Nvidia. Its lack of operational data center capacity, with only 2.2 GW of solar and battery storage capacity in operation, is also a risk. (09/04/26)

8.8 GW Data Center Pipeline Leased to OpenAI

	Cosmos	Milam County	PORTS-Pike
Capacity	50 MW	753 MW	8,024 MW
Tenant	SoftBank affiliate	OpenAI affiliate	OpenAI affiliate
Initial term	15 yrs	15 yrs	20 yrs
Renewal option	+10 yrs	+10 yrs +10 yrs	Not disclosed
Credit support	SoftBank guaranty	OpenAI affiliate guaranty	Nvidia residual-value guaranty for first 4.25 GW; Nvidia or A- or above rated guarantor for remaining 3.78 GW
Construction status	Construction	Construction	Mostly pre-construction
Expected completion	2026-27	2027-28	2028-32

Source: Company Filings, Bloomberg Intelligence

24. SB Energy's Ballooning Debt, Weak Finances

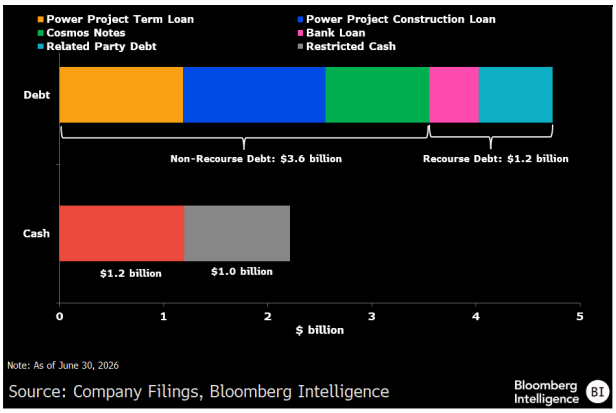
SB Energy's borrowing is likely to rise sharply as it funds its data center pipeline, though most new debt should be non-recourse. Its financial profile will probably remain weak over the next couple of years even as Cosmos and Milam County begin generating revenue, given the scale of construction spending for PORTS-Pike. The company recorded about $20 million of adjusted Ebitda vs. $78 million of net interest expense in 1H. It has a $439 billion revenue backlog, of which $1 billion is expected to be recognized within 24 months and about $12 billion between 25-48 months.

As of June, roughly 25% of existing borrowings were effectively recourse, including the $710 million in related-party debt funded by Ares Management preferred equity. All recourse debt is expected to be repaid using cash and a new credit facility of as much as $2 billion that remains under discussion. (09/04/26)

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$5 Billion Debt vs. $178 Billion Capex Backlog



Entry into US Neocloud

SoftBank to Cushion Neocloud Risks With Non-Recourse Funding

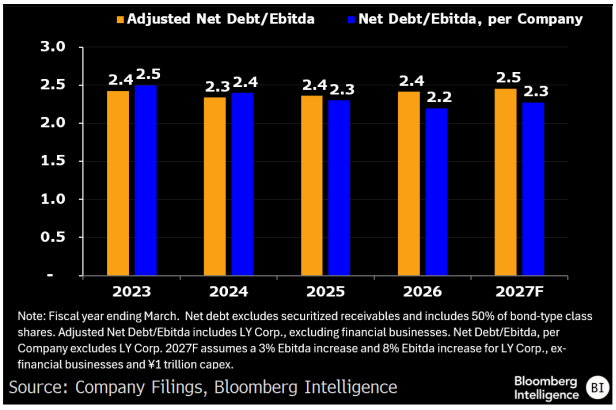
SoftBank Group and its telecom unit will limit balance-sheet pressure if their new joint venture, SB Neo, leans on non-recourse financing and SB Energy's data-center pipeline to ramp up capacity in the US neocloud market. SoftBank Corp. is committed to a mid-2x leverage and tripling operating income seems achievable. Still, the telco's rising involvement in the parent's AI strategy raises investment risk. (07/10/26)

25. Non-Recourse Funding to Lower SoftBank Debt Pressure

SoftBank Corp. can safeguard its credit profile even as it consolidates SB Neo, a JV with its parent for the US neocloud market, by funding most of SB Neo's capex via secured debt with no recourse to SoftBank. SoftBank Group's loan-to-value will slightly rise, confined to its equity contribution. That mirrors the model of its infrastructure unit, SB Energy, which tends to fund 80-90% of capex with project finance.

SoftBank Corp. can keep its stand-alone leverage at mid-2x if it sticks to its three-year plan of up to ¥1 trillion in strategic investment. Still, it risks exceeding that with its SB Neo and domestic data center investment, possible US battery-market entry and Tokyo Electric stake purchase. The uncommitted portion of about $4.3 billion can fund up to 10% of SB Neo's capex for 1.5-2 gigawatts of capacity. (07/10/26)

SoftBank Corp.'s Stable Leverage



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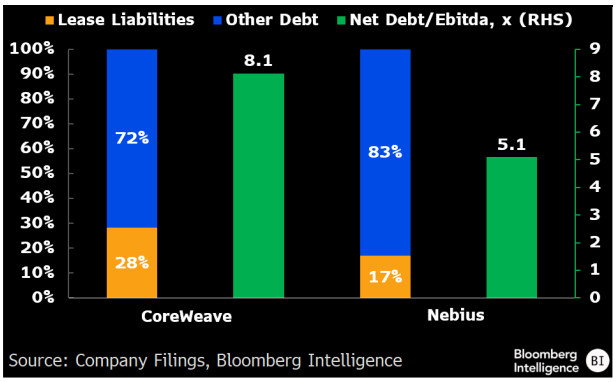
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26. Neocloud Companies Tend to Have High Leverage

SB Neo is set to have high leverage as it ramps up capacity to possibly reach 10 GW of capacity in the long term, despite plans for a phased approach based on customer needs. Neocloud firms heavily invest in computing racks, which comprise the bulk of capital expenditure, driving AI data-center costs above $30 billion per GW. SB Neo could lease data center capacity from SoftBank Group-owned SB Energy, which is involved in a 10 GW data center and power project in Ohio.

Leading neocloud companies CoreWeave (Ba3/B+/BB-) and Nebius have weak balance sheets, with large capex and lease liabilities. Nebius' leverage may move closer to CoreWeave, with nearly $10 billion of leases starting over 2026-27 compared with less than $1 billion of lease liabilities at the end of December. (07/10/26)

CoreWeave, Nebius Balance Sheets

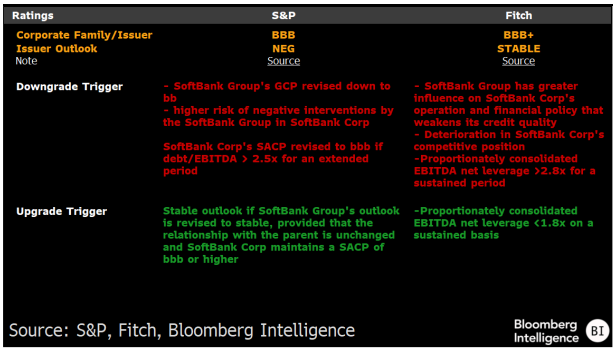


27. SoftBank Corp.'s Deepening Ties With Parent

SB Neo's formation increases SoftBank Corp.'s exposure to its 40%-owner SoftBank Group's AI strategy, with any capacity sale to cash-burning OpenAI a key risk. SB Neo is likely to require more investment than the SB OAI Japan joint venture with OpenAI, which is deploying enterprise AI solutions. Both are consolidated by SoftBank Corp, though its effective stake in SB Neo is 51% compared with 25.5% for SB OAI. Any parent-subsidiary conflicts are handled by a board with a majority of independent directors.

The telco's ratings can be affected by its parent, with the negative outlook at S&P linked to SoftBank Group's aggressive investment. How any SB Neo debt is treated will be key to its profile. Both rating agencies include LY Corp.'s debt in leverage calculations, though the company excludes the figure in its mid-2x target. (07/10/26)

SoftBank Corp.'s S&P Rating Pressured Due to Parent



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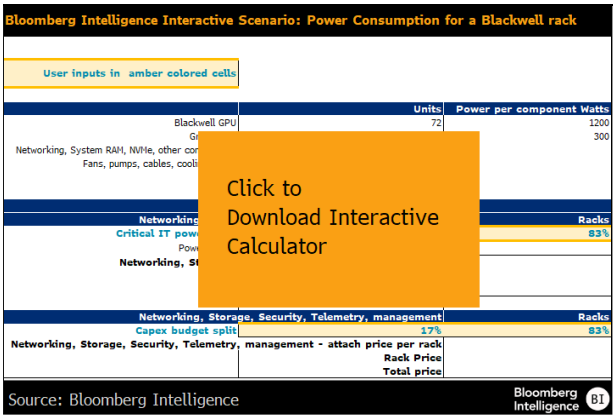
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28. Framework to Connect Capex, Power and Economics

Contributing Analysts Vasu Kasibhotla (Technology)

Hyperscalers' and neoclouds' large capital investments in AI data centers have been a key driver of multiple sectors. We present a framework to connect power consumption, capital spending and chip unit volume. The interactive calculator can also derive data centers' revenue, Ebitda and the implied return on investment. (03/03/26)

Bloomberg Interactive Calculator

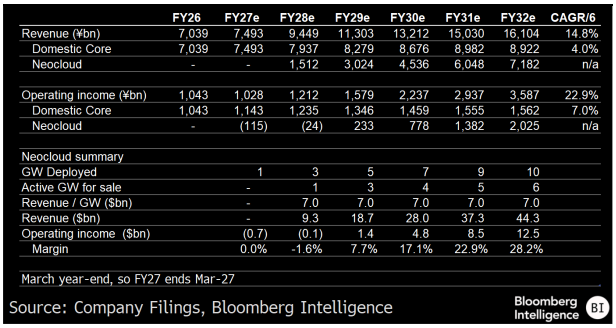


29. Adding a CoreWeave Would Triple Operating Income

Contributing Analysts Kirk Boodry (Telecom) & Chris Muckensturm (Telecom)

SoftBank Corp.'s goal to triple operating income through a neocloud venture is plausible if the financial path to a 10-gigawatt deployment follows consensus expectations for peer CoreWeave. In that scenario, we assume SoftBank could generate $7 billion of annual revenue per gigawatt and that operating margins expand to 28% by fiscal 2032. That outcome requires aggressive additions from SoftBank-affiliated SB Energy, steady AI demand and durable pricing, as well as healthy margins, yet reaching terminal-year revenue of $44 billion falls well within the anticipated budget of OpenAI's expected compute spending of $600 billion by 2030. (07/08/26)

The Path to 3X Operating Profit



Rising Exposure to OpenAI

SoftBank's OpenAI Exposure Extends Beyond $110 Billion Stake

SoftBank Group is set for rising exposure to OpenAI via its 13% stake in the firm -- its second-largest investment holding, accounting for about 20% of its portfolio, along with its data-center developments. Having OpenAI as a lessee might increase funding costs for SB Energy's 1.2 GW data center project. SoftBank has also committed to spending $3 billion annually on OpenAI's solutions,

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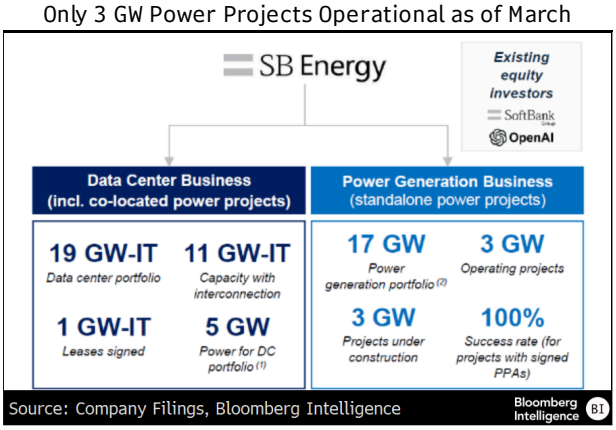
though SoftBank Corp.'s financial exposure to an enterprise AI partnership seems manageable. SoftBank can take a drop in valuation in its portfolio of close to 30% under its 25% loan-to-value ceiling, but further investments could lessen the headroom. (06/30/26)

30. Large Pipeline of Data Centers With OpenAI as Lessee

SoftBank Group-owned SB Energy is developing US data centers, with a pipeline of more than 10 GW, though the investment amount hasn't been disclosed. 80-90% is expected to be funded through project finance, but projects leased to OpenAI might face high funding costs. The planned IPO of SB Energy, reported by Reuters, also faces execution risk given the large development pipeline, with only 3 GW of power projects operational in March.

OpenAI has a minority stake in SB Energy from a $500 million investment. The latter is building and operating a 1.2 GW data center in Texas that's leased to the AI company. SB Energy's 10 GW data center project in Ohio is still in its early stages, but it's in talks with OpenAI on a 20-year lease, reported by The Information, potentially with a guarantee from Nvidia which would lower risks. (07/01/26)

Only 3 GW Power Projects Operational as of March



31. OpenAI's Large Cash Burn, Delayed IPO Pose Risk

The potential delay of OpenAI's IPO into 2027, as reported by the New York Times, might pose a valuation risk if it signals weaker than expected growth at the AI company. A listing after Anthropic might also lessen capital support for OpenAI, with the former leading in revenue growth. SoftBank Group's balance-sheet has improved, but any further investments in OpenAI -- on top of $20 billion to be deployed by year-end -- would heighten risk. It has to refinance a $40 billion bridge loan by March; this is mainly for its OpenAI investments.

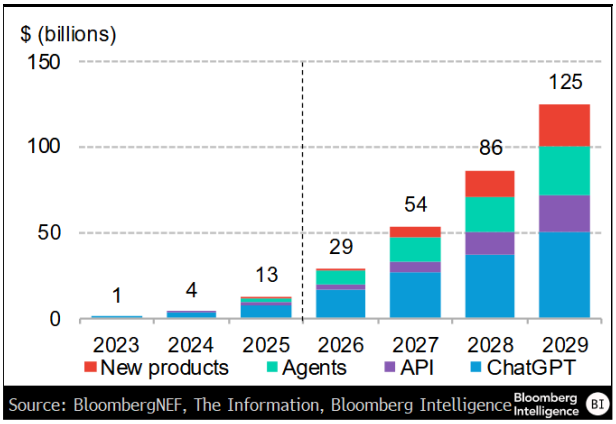
OpenAI expects to burn $25 billion and $57 billion during 2026-27, despite revising its revenue projections up, according to The Information. It raised $122 billion in the last funding round but $35 billion from Amazon is conditional upon an IPO or OpenAI achieving certain milestones. (06/30/26)

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Bloomberg Intelligence

OpenAI Revenue Projections Come With Large Losses



32. SoftBank Corp., Arm's Exposure Seems Manageable

SoftBank Group and SoftBank Corp.'s joint venture with OpenAI to deploy enterprise AI in Japan is unlikely to pose major downside risk. The former has committed to spending $3 billion annually to deploy OpenAI solutions across its group companies. SoftBank Corp. consolidates the JV but doesn't expect the cost to be material, with the venture already profitable, as a portion of SoftBank Group's $3 billion spending is recognized as revenue for the JV.

OpenAI is also one of Arm's launch partners for its venture into selling chips, but it hasn't announced the amount contracted, with Meta as the chip company's key partner. (06/30/26)

Risks Concentrated in SVF2, SB Energy

SoftBank-Related Entity	Nature of Transaction
SoftBank Vision Fund 2	Investments in OpenAI totaling $65 billion, representing a 13% stake.
SB Energy	Developing 1.2 GW data center in Texas, with OpenAI as the lessee. Potential for a further 10 GW facility in Ohio. OpenAI has invested $500 million into SB Energy.
SoftBank Group, SoftBank Corp.	SoftBank Group committed to spend $3 billion annually to deploy OpenAI solutions across group companies. SB OpenAI Japan JV between SoftBank Group, SoftBank Corp. and OpenAI was formed to deploy Cristal Intelligence AI enterprise solutions in Japan.
Arm	OpenAI is one of Arm's launch partners for its new AGI CPU

Source: Company Filings, Bloomberg Intelligence

Bloomberg Intelligence BI

Earnings Review

Earnings Review

33. SoftBank Extends Profit, Aided by ARM, Intel: Earnings Outlook

Contributing Analysts Kirk Boodry (Telecom) & Chris Muckensturm (Telecom)

Post-1Q Earnings Outlook: Record net asset value and a fifth straight quarter of positive net income in fiscal 1Q provides SoftBank some breathing room as the company prepares for its next investment phase. That includes commitments of $18 billion for OpenAI, ABB Robotics and Digital Bridge, even as an acceleration of data-center funding in the US through SB Energy added ¥726 billion ($4.5 billion) to PP&E. The valuation surge at ARM and Intel that pushed net asset value to ¥73 trillion has kept corresponding loan-to-value at a robust 13%, well below the company's 25% guardrail and similar to levels before AI investments surged.

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Challenges remain as subsequent declines in NAV have elevated LTV to roughly 18%, while interest costs have almost doubled year over year as borrowings rise. Meanwhile, the timing of liquidity-boosting potential IPOs for OpenAI, SB Energy and Roze remains opaque. (08/06/26)

Highlights From Recent Results:

- 1Q Revenue Jumped 11% on Robust ARM Sales and Fintech Growth in Japan
- Investment Income at the Holding Company Reached ¥1.3 Trillion on Mark-to-Market Gains for Intel
- Interest Expense Has Almost Doubled Over the Past Year
- Net Income Fell 8% From the Prior Year, But Extended SoftBank's Profitability Streak to Five Quarters

Additional Resources:

- Earnings Release | NSN »
- Company Presentation | DOCC »
- Analyst Estimates and Models | MODL »
- Bloomberg Interactive Model | MODL »

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